

ginal improvement from 50.9 in the March quarter, it is still the highest since the March 2022 quarter, when the BCI was at 55.2.

Economists believe that economic growth may remain muted due to the impact of weak global growth, but easing inflation and stable commodity prices could offer some reprieve. "The economy is showing signs of improvement. The major boost to confidence is coming from the decline in inflation, which is helping turn real wages positive. In turn, this is giving a demand push to the economy. If this trend continues, domestic demand will be able to take care of the slump in external demand to some extent," says Devendra Kumar Pant, Chief Economist and Head (Public Finance), India Ratings. The agency has, however, maintained a conservative GDP growth estimate of 5.9 per cent for the fiscal.

Economic growth is expected to moderate to 6 per cent in FY24 due to factors including a not-so-favourable base effect, impact of monetary tightening, and an uncertain global environment that could hurt exports, notes Aditi Nayar, Chief Economist, Head of Research and Outreach at ICRA. "The impact of the uneven monsoon and El Niño conditions on agriculture also has to be monitored," she cautions. But she says steady urban demand and softer commodity

prices are positives.

The pace of capital expansion could also give GDP growth a push, with an estimated upside of about 50 basis points. By June-end, just about 27.8 per cent of the ₹10 lakh crore of capex budgeted for this fiscal had been used, but heavier spending is expected after the southwest monsoon.

Businesses also remain cautiously optimistic about the economic prospects in the September quarter and have indicated a marginal improvement in sentiments at 5.6 on a 10-point scale, compared with 5.3 in the previous quarter.

In fact, 52 per cent of respondents are of the view that the better-than-expected GDP growth of FY23 is likely to be repeated this fiscal. However, 72 per cent felt that the upcoming state and Lok Sabha elections could impact government policymaking.

Companies are also more upbeat on hiring and profits in the September quarter, with the indices logging a score of 5 and 5.2, respectively, compared with scores of less than 5 in the previous quarter.

Nayar agrees, and says that ICRA expects corporate profitability to also improve this fiscal, benefitting from softer commodity prices.

But the skies haven't cleared yet. Corporate profit-

6.1

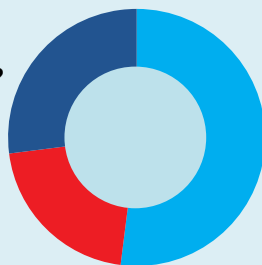
per cent

**THE IMF'S REVISED
INDIA GDP FORECAST
FOR FY24, UP FROM
5.9 PER CENT EARLIER**

BUSINESSES SPEAK UP

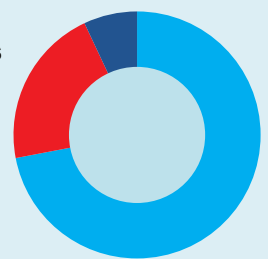
Will the better-than-expected GDP growth of FY23 be repeated in FY24?

- YES **52%**
- NO **21%**
- CAN'T SAY **27%**

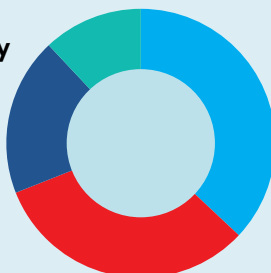


Will the upcoming state and Lok Sabha elections impact government policymaking?

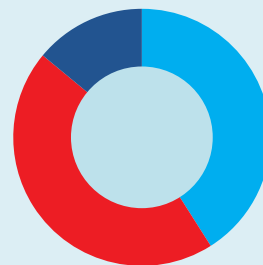
- YES **72%**
- NO **21%**
- CAN'T SAY **7%**



Corporate profitability has been a challenge. What's worrying you?



- MUTED GLOBAL ECONOMIC GROWTH **37%**
- SUBDUED CONSUMER DEMAND **32%**
- HIGHER THAN EXPECTED INFLATION **19%**
- RISING OIL PRICES **12%**



Do you expect another rate hike by the RBI in the next policy review in August?

- YES **41%**
- NO **45%**
- CAN'T SAY **14%**

SOURCE THE BT-C FORE BUSINESS CONFIDENCE SURVEY CONDUCTED BETWEEN JULY 9 AND 21, 2023, OF 500 CEOS OR CFOS REPRESENTING VARIOUS INDUSTRIES AND COMPANY SIZES ACROSS DELHI, MUMBAI, CHENNAI, HYDERABAD, BENGALURU, KOLKATA, CHANDIGARH, LUCKNOW, NAGPUR, KOCHI, VISAKHAPATNAM AND BHUBANESWAR